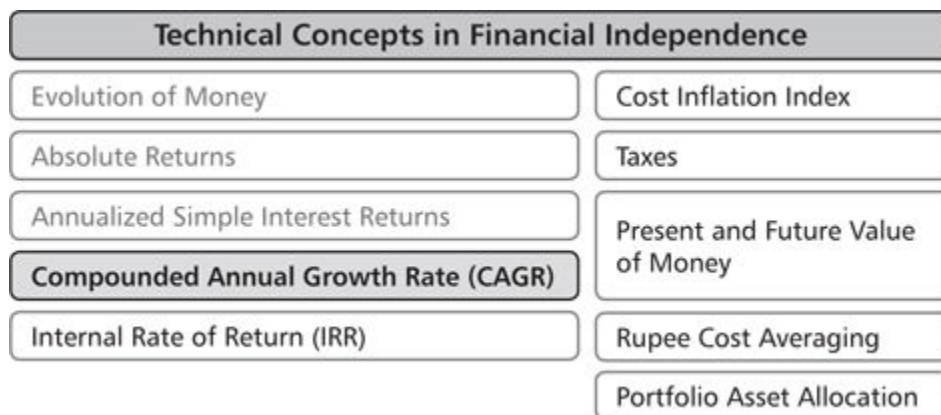


also once at the end of the tenure. This method of calculating returns becomes invalid if there are investments or returns in the middle of this tenure.

This formula will get further tuned as we consider a multi-year spread of investments as well as returns in a later part of the book. Before that however, there is one very critical element in returns calculation that needs to be introduced at this stage, namely interest. In all practical scenarios, we need to consider the fact that the interest earned each year in a multi-year tenure is re-invested for the next year and also contributes to the return in the next year.

This method of calculation where the interest earned is re-invested for the future tenure and contributes to the overall returns is called as Compounded Annual Growth Rate (CAGR).

Let us now look at an example of how to calculate CAGR for a multiyear investment where the interest is re-invested as a principle¹⁹ for the next year's returns.



Compounded Annual Growth Rate (CAGR)

The Compounded Annual Growth Rate, as the name suggests, takes care of two critical factors to give a true picture of the returns on your investment viz "compounded" and "annual." It assumes that the gains are re-invested every year and these reinvested gains further contribute to the overall returns.